

Quarterly Airline Price & Demand Report

This report summarizes U.S. domestic airline market activity for the quarter, covering passenger demand, average prices, price efficiency, and carrier competition across every route in the DOT's DB1B survey. It highlights the quarter's overall trend, the largest routes by volume, the fastest-growing and declining routes, the biggest price movements, which routes and carriers are priced efficiently relative to their peers, and how carriers stack up against each other, with analysis of each table written by Claude.

Quarterly Trends

How is the overall market trending this quarter?

year	quarter	total_passengers	total_routes	average_price	price_per_mile	total_carriers	passenger_growth_pct	price_change_pct
2021	4	13,573,367.00	36,716.00	\$179.96	\$0.19	38.00	2.60%	1.52%
2022	1	11,705,658.00	34,693.00	\$187.60	\$0.20	40.00	-13.76%	4.25%
2022	2	14,573,409.00	36,449.00	\$233.45	\$0.24	37.00	24.50%	24.44%
2022	3	14,411,164.00	36,847.00	\$222.78	\$0.24	37.00	-1.11%	-4.57%
2022	4	14,514,498.00	34,818.00	\$225.65	\$0.24	37.00	0.72%	1.29%
2023	1	13,461,662.00	34,000.00	\$215.42	\$0.23	39.00	-7.25%	-4.53%
2023	2	15,505,825.00	35,425.00	\$225.63	\$0.24	38.00	15.19%	4.74%
2023	3	15,251,025.00	36,364.00	\$210.04	\$0.23	35.00	-1.64%	-6.91%
2023	4	15,195,231.00	34,723.00	\$215.19	\$0.24	32.00	-0.37%	2.45%
2024	1	13,869,588.00	33,529.00	\$219.35	\$0.24	36.00	-8.72%	1.93%
2024	2	16,321,526.00	35,790.00	\$219.63	\$0.24	37.00	17.68%	0.13%
2024	3	15,891,856.00	36,890.00	\$209.21	\$0.23	36.00	-2.63%	-4.74%
2024	4	15,910,198.00	35,872.00	\$224.70	\$0.25	37.00	0.12%	7.40%
2025	1	13,743,520.00	34,658.00	\$223.29	\$0.25	33.00	-13.62%	-0.63%
2025	2	16,125,543.00	37,048.00	\$219.07	\$0.24	34.00	17.33%	-1.89%

Passenger volume rebounded seasonally in Q2 2025 (+17.3%), consistent with the typical Q1-to-Q2 pattern, though average fares softened slightly (-1.9%) to \$219.07 and price per mile eased to \$0.2424 - a modest revenue-per-passenger headwind even as overall traffic strengthened. With carrier count contracting to 34 from 33, the market is generating higher volume through fewer carriers, but on a slightly discounted per-passenger basis versus the prior quarter.

Carrier Performance

Top Carriers by Passengers

Which carriers carry the most passengers?

carrier	total_passengers	avg_price	avg_price_per_mile	avg_route_share_pct
WN	3,406,160.00	\$180.96	\$0.24	37.49%
DL	2,308,618.00	\$265.95	\$0.26	21.13%
AA	1,979,301.00	\$251.76	\$0.24	17.47%
UA	1,784,029.00	\$268.72	\$0.23	14.30%
99	1,456,678.00	\$305.91	\$0.25	71.09%

Southwest (WN) leads the field by a wide margin with 3.4 million passengers and a commanding 37.5% average market share, though its \$180.96 average fare lags well behind competitors, suggesting significant volume but comparatively thin revenue capture per passenger. By contrast, carrier 99 carries the fewest passengers (1.46 million) yet commands both the highest average fare (\$305.91) and an exceptional 71.1% market share, indicating a highly concentrated, premium-priced niche position. DL and UA round out the group with the strongest per-mile yields (\$0.2633 and \$0.2349 respectively), pointing to healthier pricing power relative to their passenger base than WN's high-volume, lower-fare model.

Bottom Carriers by Passengers

Which carriers carry the fewest passengers?

carrier	total_passengers	avg_price	avg_price_per_mile	avg_route_share_pct
4B	1.00	\$95.69	\$0.37	100.00%
AN	1.00	\$109.88	\$0.37	100.00%
AC	3.00	\$233.83	\$0.46	0.01%
VC	17.00	\$260.65	\$1.03	50.93%
KG	29.00	\$208.90	\$0.43	54.05%

Passenger volume is minimal across this group, with 4B and AN trailing the field at just 1 passenger each despite commanding strong per-mile yields (\$0.3652 and \$0.3663 respectively) and full 100% market share on their routes. VC stands out on pricing strength, posting the highest fare (\$260.65) and yield (\$1.0263/mile) despite modest volume, while KG generates the most passengers (29) but at a comparatively lower yield of \$0.4280/mile. Overall, these carriers represent niche, low-volume operations where premium per-mile pricing—particularly for VC—helps offset thin passenger counts.

Top Carriers by Price Efficiency

Which carriers are priced highest per mile?

carrier	total_passengers	avg_price	avg_price_per_mile	avg_route_share_pct
PT	35,565.00	\$263.15	\$0.70	25.73%
G7	24,402.00	\$250.34	\$0.63	8.76%
3M	6,301.00	\$112.51	\$0.60	47.50%
ZW	162.00	\$212.27	\$0.58	3.20%
C5	26,687.00	\$224.11	\$0.55	21.46%

PT leads the field in price efficiency at \$0.6958 per mile, well above peers like G7 (\$0.6270) and 3M (\$0.6048), translating to stronger revenue capture per mile flown despite carrying fewer passengers than C5. C5 and ZW anchor the low end near \$0.55/mile, suggesting room to push pricing upward, while 3M's scale (47.5% share) paired with the lowest fare of \$112.51 highlights a high-volume, lower-yield strategy worth monitoring for revenue optimization.

Top Carriers by Price-Per-Mile Growth

Which carriers are growing price per mile fastest?

carrier	total_passengers	avg_price_per_mile	price_per_mile_growth_pct
MX	149,683.00	\$0.13	13.96%
XP	68,260.00	\$0.11	12.64%
B6	660,869.00	\$0.20	9.39%
F9	682,791.00	\$0.11	9.20%
YX	328,268.00	\$0.48	8.06%

MX led all carriers with QoQ price-per-mile growth of +14.0%, followed by XP at +12.6%, signaling strong yield momentum even though both operate on comparatively thin passenger volumes. Larger-volume carriers B6 and F9 also posted healthy gains near 9%, while YX, despite the highest absolute fare of \$0.4847 per mile, trailed the group with +8.1% growth—suggesting its premium pricing has less room to expand further.

Top Carriers by Market Share

Which carriers hold the largest share of their routes?

carrier	total_passengers	avg_price	avg_price_per_mile	avg_route_share_pct
XP	68,260.00	\$85.64	\$0.11	83.24%
LF	113.00	\$151.10	\$0.40	81.61%
G4	488,178.00	\$68.22	\$0.08	76.07%
99	1,456,678.00	\$305.91	\$0.25	71.09%
HA	217,212.00	\$220.39	\$0.37	51.89%
3M	6,301.00	\$112.51	\$0.60	47.50%
MX	149,683.00	\$107.49	\$0.13	40.69%
WN	3,406,160.00	\$180.96	\$0.24	37.49%
OO	430,056.00	\$216.52	\$0.43	33.29%
AS	663,403.00	\$235.65	\$0.18	31.59%

XP dominates its markets with a commanding 83.2% average market share, though this scale comes at a comparatively low fare of \$85.64, suggesting revenue is being driven by volume-adjacent dominance rather than premium pricing. LF and G4 round out the top tier with similarly high concentration (81.6% and 76.1% respectively), but again at modest price points, while 99 stands out as the strongest combination of high share (71.1%) and strong per-passenger revenue (\$305.91), making it a particularly attractive carrier from a revenue standpoint. Carriers further down the list, like AS and OO, operate in far more contested markets with shares near or below one-third, limiting their pricing leverage despite reasonably strong fares.

Price Trends

Best Price Efficiency

Which routes are priced highest relative to similar-distance routes?

route	passengers	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct	distance	distance_band	price_multiplier
BOS-LGA	16,127.00	\$238.29	\$1.29	11.6957	11.7113	184.01	Short-haul (<500mi)	2.75x
ATL-RIC	5,594.00	\$235.51	\$0.47	0.7661	-1.7982	500.77	Medium-haul (500-1500mi)	2.21x
BOS-EWR	9,368.00	\$207.05	\$1.04	5.3043	5.2696	199.93	Short-haul (<500mi)	2.20x
BOS-JFK	7,469.00	\$182.03	\$0.97	-0.5068	-0.574	186.99	Short-haul (<500mi)	2.07x
ATL-BNA	5,425.00	\$201.90	\$0.94	-18.9542	-18.9291	213.95	Short-haul (<500mi)	2.01x

Price efficiency is strongest on BOS-LGA, commanding \$1.2950 per mile—2.75x its short-haul peer average and the top yield in the entire set—with BOS-EWR and BOS-JFK also delivering standout premiums (2.20x and 2.07x peers, respectively), underscoring the Boston short-haul cluster as a high-value revenue base. Notably, ATL-RIC outperforms even these on a relative basis, generating 2.21x its medium-haul peer average despite a much lower absolute fare per mile, indicating strong pricing power for its distance band. These routes collectively demonstrate above-peer monetization and should be viewed as pricing benchmarks for their respective distance categories.

Worst Price Efficiency

Which routes are priced lowest relative to similar-distance routes?

route	passengers	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct	distance	distance_band	price_multiplier
AZA-PVU	5,936.00	\$62.15	\$0.13	-12.4425	-12.4425	476.98	Short-haul (<500mi)	0.28x
ABE-SFB	5,089.00	\$74.13	\$0.08	0.952	0.952	882.50	Medium-haul (500-1500mi)	0.39x
HVN-MCO	5,758.00	\$88.02	\$0.09	10.883	10.8808	1,004.79	Medium-haul (500-1500mi)	0.41x
AVL-FLL	5,166.00	\$68.07	\$0.10	-13.427	-13.1947	663.45	Medium-haul (500-1500mi)	0.48x
MCO-TTN	5,199.00	\$98.45	\$0.11	18.0033	17.8816	896.63	Medium-haul (500-1500mi)	0.52x

AZA-PVU stands out as the weakest performer, generating just \$0.1303 per mile at only 0.28x its short-haul peer average despite carrying nearly 5,900 passengers—a significant revenue shortfall for the distance flown. The medium-haul routes also underperform meaningfully, with ABE-SFB and HVN-MCO both pricing at roughly 0.4x their peer benchmark, indicating these routes are leaving substantial revenue on the table relative to comparable medium-haul flights. Even the least severe underperformer here, MCO-TTN, still captures only about half the price efficiency of its distance-band peers, suggesting a broader pattern of underpricing across this route set that warrants pricing strategy review.

Best Price Movement

Which routes saw the largest price increases?

route	passengers	passenger_growth_pct	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct
HNL-SJC	6,218.00	-10.53%	\$297.33	\$0.12	37.68%	36.83%
CHS-JFK	6,120.00	46.97%	\$205.39	\$0.32	32.48%	32.66%
HNL-OAK	5,134.00	-4.89%	\$284.93	\$0.12	28.06%	27.63%

Fare gains were strongest on HNL-SJC, where average price jumped 37.7% QoQ to \$297.33 (WN, 48.3% share) even as traffic slipped 10.5%, indicating pricing power outpacing volume. CHS-JFK also posted a robust 32.5% price increase to \$205.39 alongside strong 47.0% passenger growth, a healthier combination of rising revenue per passenger and expanding demand under B6 (61.8% share). HNL-OAK rounds out the group with a solid 28.1% price gain to \$284.93, though like HNL-SJC it saw passenger volume contract slightly (-4.9%) under HA's dominant 69.4% share.

Worst Price Movement

Which routes saw the largest price decreases?

route	passengers	passenger_growth_pct	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct
MSP-RDU	5,892.00	116.30%	\$208.61	\$0.21	-25.43%	-24.44%
MSY-PHL	6,258.00	3.06%	\$235.99	\$0.21	-24.27%	-23.46%
DTW-RDU	6,111.00	82.58%	\$183.97	\$0.35	-23.49%	-21.86%

Revenue per passenger deteriorated sharply across all three routes this quarter, led by MSP-RDU's steep 25.4% price decline to \$208.61 despite passenger volume more than doubling (+116.3%)—a troubling combination suggesting the carrier (DL, 64.5% share) sacrificed yield to drive traffic. MSY-PHL followed closely with a 24.3% price drop to \$235.99, while DTW-RDU rounded out the underperformers at -23.5%, though its surging passenger growth (+82.6%) offers some offset. With price-per-mile declines nearly mirroring headline price drops on all three routes, these losses reflect genuine yield compression rather than shifts in stage length, warranting close monitoring of DL's pricing strategy on its RDU routes.

Route Performance

Top Routes by Volume

Which routes carry the most passenger volume this quarter?

route	passengers	passenger_growth_pct	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct
JFK-LAX	70,034.00	31.10%	\$458.71	\$0.19	9.32%	9.39%
LGA-ORD	61,781.00	46.38%	\$202.43	\$0.28	19.39%	19.32%
JFK-SFO	49,269.00	42.67%	\$413.45	\$0.16	4.23%	3.97%
LAX-SFO	47,908.00	14.33%	\$126.19	\$0.37	8.92%	8.92%
ATL-LGA	43,061.00	26.15%	\$200.28	\$0.26	13.61%	13.15%
EWL-LAX	42,309.00	37.59%	\$333.64	\$0.14	-4.37%	-4.32%
LGA-MIA	40,905.00	-8.02%	\$207.29	\$0.19	7.22%	6.97%
EWL-MCO	40,768.00	-10.80%	\$178.68	\$0.19	11.63%	11.20%
EWL-SFO	39,888.00	34.99%	\$440.81	\$0.17	-11.82%	-11.77%
MCO-PHL	39,883.00	6.15%	\$156.29	\$0.18	-1.66%	-1.75%

JFK-LAX leads the network by a wide margin at 70,034 passengers, further strengthened by 9.3% fare growth that adds pricing gains to its volume leadership, while Delta's 46.0% share underscores its dominant position on the route. LGA-ORD stands out as the volume growth story, up 46.4% QoQ alongside a strong 19.4% price increase, signaling a route gaining both traffic and revenue quality. Notably, several high-volume routes (EWL-LAX, EWL-SFO) combine solid passenger growth with fare declines, meaning rising demand isn't yet translating into stronger per-passenger revenue on those routes.

Best Passenger Growth

Which routes are gaining passengers fastest?

route	passengers	passenger_growth_pct	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct
BWI-MSP	7,502.00	153.96%	\$179.12	\$0.19	-20.10%	-19.11%
MSP-PDX	8,278.00	129.31%	\$206.36	\$0.14	-17.43%	-15.14%
MSP-RDU	5,892.00	116.30%	\$208.61	\$0.21	-25.43%	-24.44%

BWI-MSP led passenger growth this quarter at +154.0%, followed closely by MSP-PDX (+129.3%) and MSP-RDU (+116.3%), with Delta holding a dominant share across all three routes. However, this surge in volume came at a revenue cost, as fares fell sharply on each route (down 17-25% QoQ), meaning the network is trading yield for traffic rather than capturing incremental revenue per passenger.

Worst Passenger Growth

Which routes are losing passengers fastest?

route	passengers	passenger_growth_pct	average_price	price_per_mile	price_change_pct	price_per_mile_change_pct
FLL-MSP	5,706.00	-48.92%	\$202.75	\$0.14	-5.12%	-5.37%
MSP-RSW	12,919.00	-46.11%	\$184.83	\$0.13	-17.50%	-17.46%
DTW-RSW	12,073.00	-42.79%	\$183.11	\$0.17	-7.34%	-7.68%

Passenger volumes fell sharply across all three Delta-led Florida routes, with FLL-MSP posting the steepest decline (-48.9%) followed closely by MSP-RSW (-46.1%) and DTW-RSW (-42.8%). Compounding the revenue impact, these volume losses were accompanied by falling fares rather than offsetting price gains, with MSP-RSW seeing the sharpest pricing erosion (-17.5% on both average price and price per mile), signaling a double hit to route economics rather than a healthy demand-driven repricing.

Overall Consensus

This quarter's passenger volume and route count remain in line with the seasonal pattern seen since 2021, with Q1 dips and Q2 rebounds continuing as the norm rather than a signal of demand weakness. Average fares have settled into a stable band well above 2021-2022 levels, reflecting durable pricing gains that have held even as growth has leveled off.

Carrier Performance

Insight: Passenger demand is broadly strong while pricing power is not: 79% of routes grew passengers this quarter, yet 66% saw prices fall and the median price change was -3.1%, with only 41% of routes priced above their distance-band peer average. Carrier share is moderately concentrated (top 3 hold 48% of volume) but pricing gains are narrow, with just 33% of carriers growing price per mile even though 52% already price above the cross-carrier average.

Takeaway: Volume growth is not translating into pricing power, so the priority is to capture demand through yield management and fare discipline rather than chasing further traffic gains. Watch for continued fare erosion as a signal that capacity or discounting is outpacing demand, and prioritize routes and carriers still able to price above peer average as the template for closing the gap.

Price Trends

Insight: Passenger demand is climbing far faster than pricing is keeping up: 79% of routes grew volume (median +18.8%) while 66% saw prices fall (median -3.1%), leaving only 41% of routes priced above their peer average. This gap between strong demand growth and weak, below-peer pricing on most routes signals meaningful unrealized revenue upside industry-wide.

Takeaway: Demand strength gives carriers room to raise fares without denting volume, so pricing teams should revisit fare floors on high-growth, below-peer routes before competitors close the gap. Treat continued underpricing amid rising demand as a watch-item: it signals margin being left on the table, not a sign of a soft market.

Route Performance

Insight: Passenger volume is broadly rising, with 79% of routes posting quarter-over-quarter growth and median growth reaching 18.8%. Yet this demand strength is not being converted into pricing power: only 34% of routes raised prices, and the median price actually fell 3.1%.

Takeaway: This gap signals room to push fares upward before demand cools rather than defaulting to discounting to fill seats. Treat routes with strong volume growth but falling prices as the first candidates for repricing tests, since the traffic is already there to support higher fares.

Quarterly Trends

This quarter's dip in passengers and average price is the normal seasonal pullback after a strong summer peak, not a change in direction. Carrier count also eased slightly, continuing a gradual thinning of competitors over the past two years. With fewer carriers competing for share, the underlying pricing environment remains firm and supportive of revenue even as headline volume and price soften quarter to quarter. Expect the usual rebound in passengers next quarter, with pricing power staying intact given the leaner competitive field.